

INDIAN ECONOMY

LEVEL
II



LECTURES

- STATE INTERVENTION ... VARYING TRAITS OF MIXED ECONOMIES
- DESIRED OUTCOMES OF ECONOMY

MODULE - 2



EDUCATION



HEALTHCARE



NUTRITION



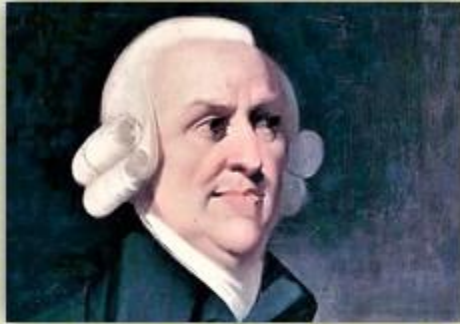
SOCIAL SECURITY



STATE INTERVENTION IS NECESSARY



ADAM SMITH

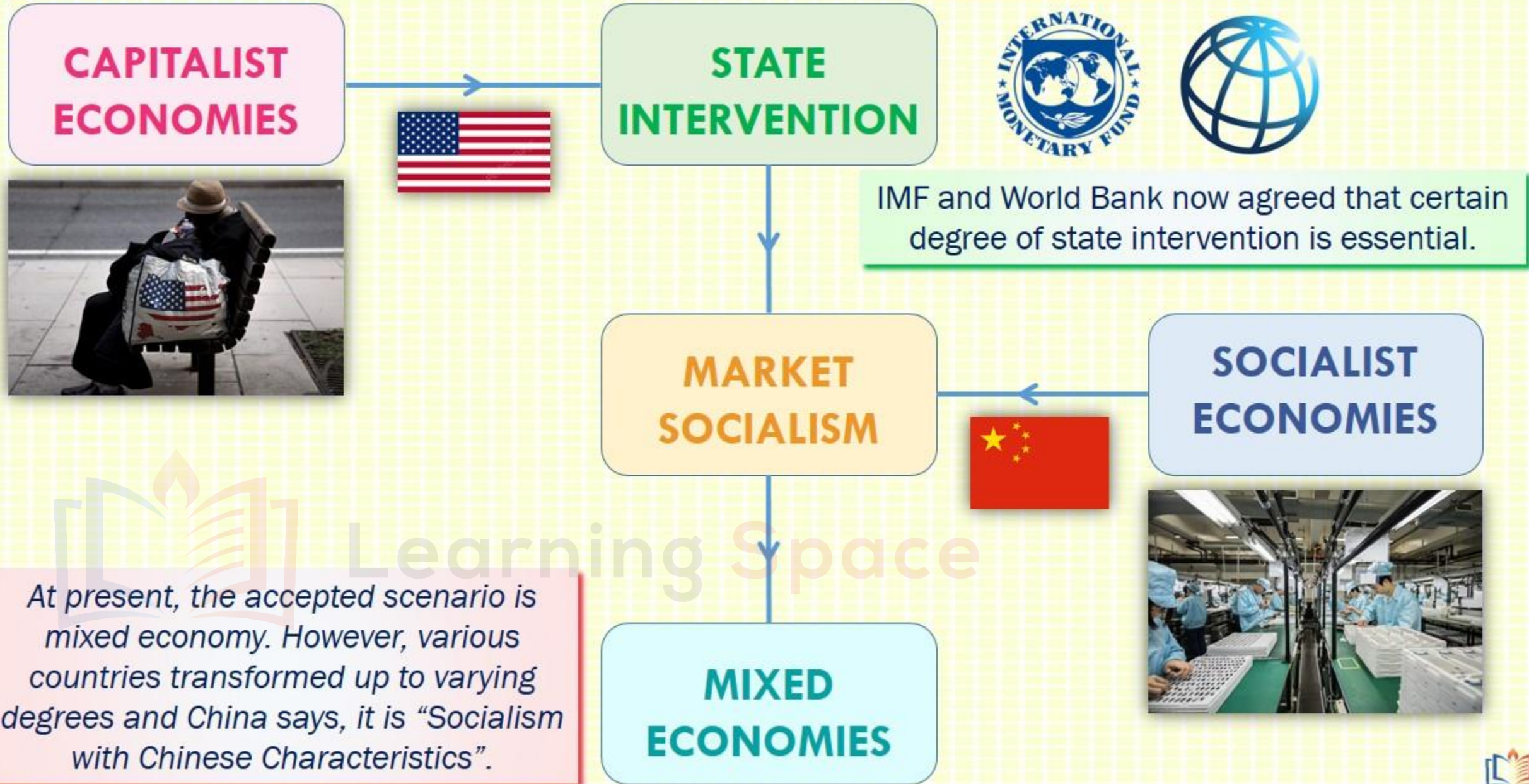


KARL MARX



- Governments should determine State Intervention.
- Extent of intervention based on the stage of evolution of economy.
- Depends on socio-economic and political conditions.
- We cannot generalise the theory of intervention.
- Intervention is highly dynamic.
- Three main objectives ... economic efficiency, social justice individual liberty.

WHAT IS THE PRESENT SCENARIO?

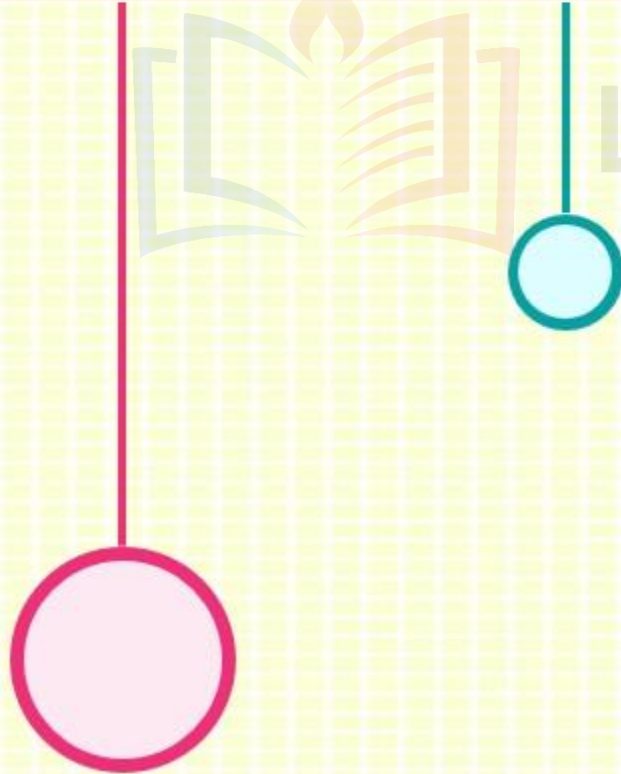


WHAT ABOUT INDIA?

1947-1991



STATE – MARKET MIX



WHAT ABOUT INDIA?

1991 ONWARDS



STATE – MARKET MIX



1

AS A REGULATOR



It is absolutely necessary to correct the flaws and distortions.

2

PROVIDER OF PRIVATE GOODS & SERVICES



State can gradually retreat through privatisation.

3

PROVIDER OF PUBLIC GOODS & SERVICES



State should continue to provide these kind of services, but as the time progresses, the population to be covered will come down.

ECONOMY ... WHAT SHOULD BE THE ULTIMATE OUTCOME?

1 TO PROMOTE HAPPINESS



3 TO REDUCE MULTI-DIMENSIONAL POVERTY



2 TO REDUCE HUNGER



4 DEVELOPMENT SHOULD NOT BE AT THE COST OF ENVIRONMENTAL DESTRUCTION



1 TO PROMOTE HAPPINESS



Happiness scoreboard

The gap between the top and bottom countries is wide



Source: World Happiness Report

WHAT UN WORLD HAPPINESS REPORT, 2019 SAYS?

- The report ranks the World's **156 countries** on “how happy their citizens perceive themselves to be”. India's rank is **140**.
- There is **increase in negative emotions**, including worry, sadness and anger.
- Six variables for well being —
 - Income
 - Freedom
 - Trust
 - Healthy Life Expectancy
 - Social Support
 - Generosity

The Report is produced by the United Nations Sustainable Development Solutions Network in partnership with the Ernesto Illy Foundation. It used data from the Gallup World Poll.





Learn

ECONOMY ... WHAT SHOULD BE THE ULTIMATE OUTCOME?

2

TO REDUCE HUNGER



German politically
independent non-profit
and non-governmental
aid agency

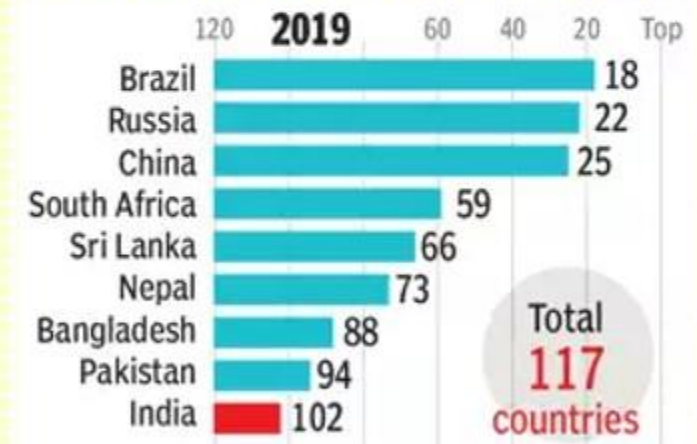
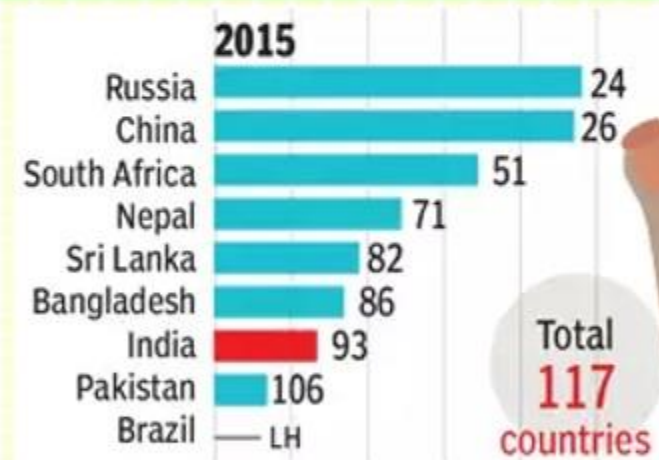


CONCERN
worldwide

Ireland's largest aid and humanitarian
agency, focuses on health, hunger and
humanitarian response in emergencies.

DECLINE IN GLOBAL HUNGER INDEX

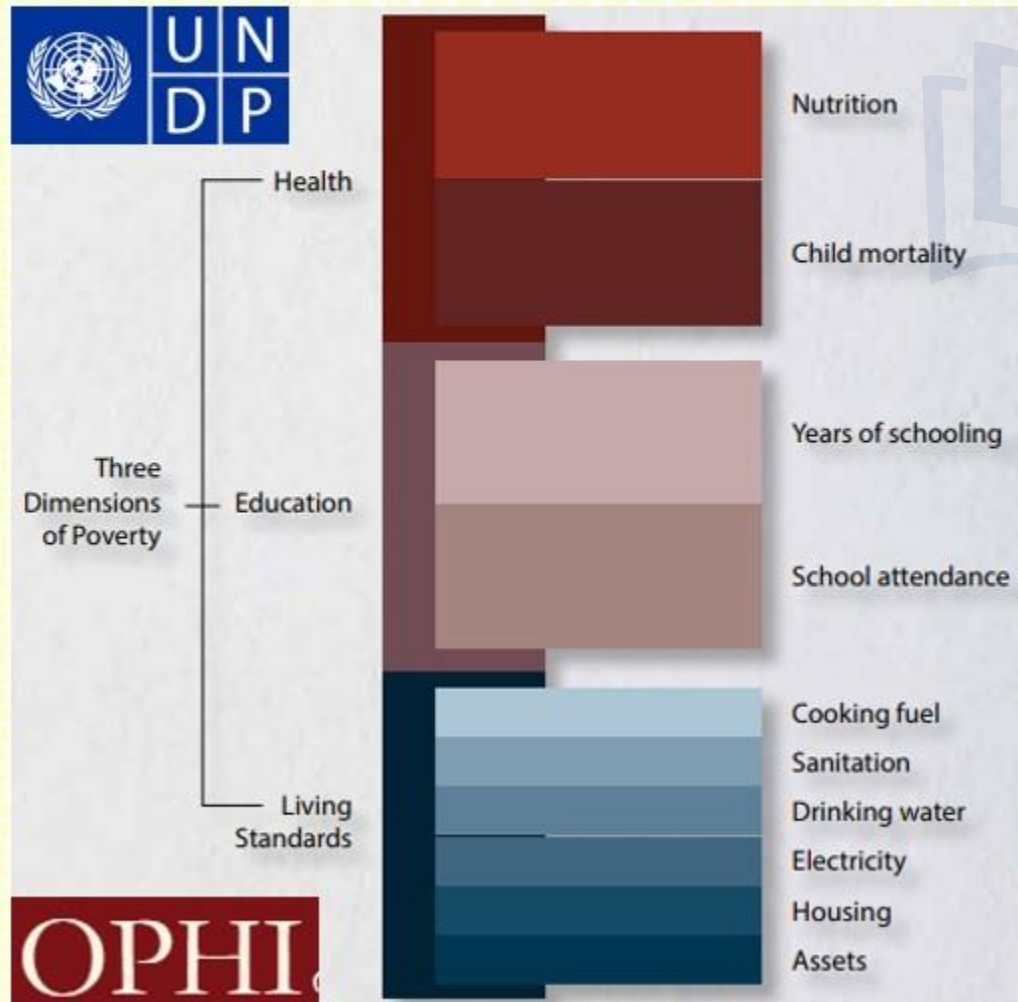
- The GHI ranks countries on a 100-point scale, with **0 being the best score** (no hunger) and **100 being the worst**.
- The report said **only 9.6% of children in India** between **6 to 23 months** were fed a **minimum acceptable diet**.
- India's child wasting ratio at **20.8%** is the **highest of any country**



Hunger means a situation in which the body does not have enough food. India's score is 30.3 and is in serious hunger category



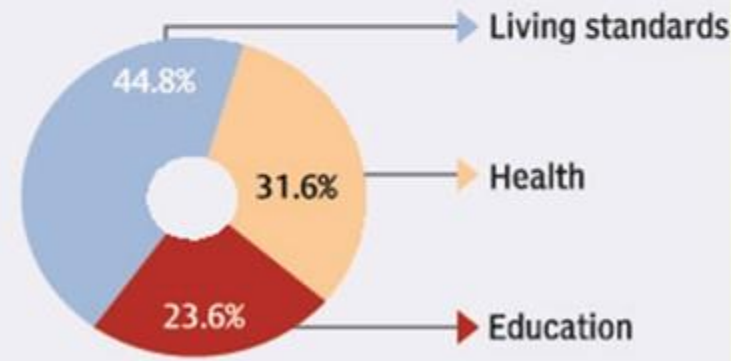
3 TO REDUCE MULTI-DIMENSIONAL POVERTY



WHAT UNDP MULTIDIMENSIONAL POVERTY INDEX INDICATES?

- India has reduced its poverty rate drastically from **55% to 28% in 10 years**, **271 million people** moved out of poverty between 2005-06 and 2015-16.
- India still had **364 million poor** in 2015-16, the **largest** for any country.

Contributors of various factors to multi-dimensional poverty in India



Source: UNDP

Persons are considered to live in multidimensional poverty with at least 33% of the indicators reflect acute deprivation in health, education and standard of living.

4 DEVELOPMENT SHOULD NOT BE AT THE COST OF ENVIRONMENTAL DESTRUCTION



POOR PERFORMANCE IN EPI

- India's rank is 177 out of 180 in the Environmental Performance Index released in 2018. It was 141 in 2016.
- This is biennial report by Yale and Columbia Universities along with World Economic Forum.
- The main reason is India's poor performance in the Environment Health Policy and deaths due to air pollution categories.
- Deaths attributed to Ultrafine PM 2.5 pollutants are estimated at 16,40,113 annually in India.

The 10th EPI report ranks 180 countries on 24 performance indicators across 10 categories covering Environmental Health and Ecosystem Vitality.

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